

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC

v.

COSCO Shipping Lines Co., Ltd.

**RESPONDENT’S REPLY IN SUPPORT OF ITS
MOTION FOR PARTIAL SUMMARY JUDGMENT**

Respondent COSCO Shipping Lines Co., Ltd., (“Respondent” or “COSCO”) files this Reply in support of its March 11, 2025, Motion for Partial Summary Judgment (“Motion”) against Complainant TZ SSE Buyer, LLC (f/k/a Impact Products, LLC and Safety Zone, LLC) (“Complainant”).

INTRODUCTION

Respondent demonstrated in the Motion that the Commission lacks jurisdiction over shipments that originated in a foreign country and were discharged at ports in Canada (another foreign country), and only then moved by land to the United States. Such shipments do not meet the Shipping Act requirement that “a United States port is required somewhere along the route.” *Austasia Intermodal Lines, Ltd. v. FMC*, 580 F.2d 642 (D.C. Cir. 1978).

Complainant makes what can only be called a half-hearted attempt to preserve its claims for shipments that never came anywhere near a U.S. port. In so doing, it commits both sins of commission and sins of omission. We demonstrate both of those in the argument, below. For now, we simply highlight a remarkable omission – one that violates at least the spirit of American Bar

Association Model Rule 3.3(a)(2), made applicable to practitioners before the Commission by 46 C.F.R. 502.26

On March 24, 2025, before Complainant filed its response to the Motion, it received an Initial Decision in *TZ SSE Buyer, LLC v. Yang Ming Transport Corp.*, Docket No. 24-10 (Initial Decision, March 24, 2025). In that decision, Administrative Law Judge Ambrow specifically ruled that “the Commission lacks jurisdiction over claims related to 381 of the 626 container shipments because the record lacks evidence that the containers were shipped overseas *from a foreign port to a port in the United States.*” *Id.*, Slip op. at 2 (emphasis added). At least some of the shipments that Judge Ambrow dismissed had been discharged in Canada. Shockingly, you will find no mention of this decision in Complainant’s Response.¹

ARGUMENT

I. The FMC Lacks Jurisdiction Over Shipments Discharged at Canadian Ports

Complainant takes three tacks in its Response. First, it misrepresents Commission cases regarding jurisdiction over through moves. Second, it simply ignores or misrepresents Commission precedent directly adverse to its position. Finally, it pretends that the precedents may be ignored because Respondent is for certain purposes an ocean common carrier within the meaning of the Shipping Act. We address these assertions in reverse order.

1. COSCO is Not an Ocean Common Carrier for Canadian Shipments.

Complainant repeatedly states that COSCO admits to being an ocean common carrier and argues that this ends the question of jurisdiction and makes the statute and case law irrelevant. This assertion might make sense if Respondent were challenging *personal* jurisdiction, but it has no

¹ We assume that Complainant disagrees with Judge Ambrow, but that certainly does not justify its attempt to hide the ball from the Presiding Officer.

import as to **subject matter** jurisdiction.² Indeed, Complainant’s argument was flatly rejected by the Commission in *Foreign-to-Foreign Agreements – Exemption*. 25 S.R.R. 455, 462 (FMC 1989), extensively discussed in the Motion but struthiously ignored in the Response. There, the Commission stated that being an ocean common carrier for some shipments did not make the entity an ocean common carrier for all shipments, stating that this argument “disregard[ed] the distinction between personal and subject matter jurisdiction.” Acceptance of such an argument, the FMC emphasized, would lead to a “risible” outcome of expanding the Commission’s authority well beyond what Congress authorized. *Id.*

2. Complainant Ignores or Misrepresents Adverse Precedent

As discussed above, the Response maintains radio silence as to both Judge Ambrow’s recent ruling in Complainant’s similar complaint against ocean common carrier Yang Ming and the Commission’s two decisions in *Foreign-to-Foreign Agreements*. It does address the D.C. Circuit’s decision in *Austasia* but misrepresents what the case says.

² A respondent cannot stipulate to jurisdiction. As the Commission has explained:

A question of jurisdiction is a matter that any court or agency can raise at any stage of the proceedings, and **subject matter jurisdiction is not something that parties can confer on the Commission without statutory authority even if they were to agree.** (See *Majd-Pour v. Georgiana Community Hosp., Inc.*, 724 F.2d 901, 902 (11th Cir. 1984); 5 Wright and Miller, *Federal Practice and Procedure*, sec. 1350 at 545; 15 Wright, Miller, and Cooper, *Federal Practice and Procedure*, sec. 3905 at 421-422; *New Orleans Steamship Association v. Plaquemines Port*, 23 S.R.R. 1363, 1371 (FMC 1986); *Insurance Corp. v. Compagnie des Bauxites*, 456 U.S. 694, 702 (1982) (lack of subject matter jurisdiction cannot be cured by waiver or stipulation of the parties); *International Association of NVOCCs v. ACL et al.*, 25 S.R.R. 167, 174-175 (ALJ), affirmed, 25 S.R.R. 734, 743-744 (1990) (agency’s jurisdiction is limited by its statute). *Vinmar, Inc. v. China Ocean Shipping Co.*, 1992 WL 231349 at *5 (Dismissal of Complaint, January 16, 1992).

As explicitly explained by the Commission in the *Foreign-to-Foreign* decisions that Complainant ignores, *Austasia* did not turn on whether the carrier was generally a common carrier or not, but rather, whether it was acting as a common carrier for the specific shipments at issue. In this respect, the Commission explained that the *Austasia* holding of no FMC jurisdiction applies even if the carrier is an ocean common carrier for other purposes and applies even where the carrier discharges cargo both in Canada and in the United States on the same service. 25 S.R.R. at 463-65.³ Likewise, as quoted in the Motion, the Commission stated in its original decision that:

“[The definition of ‘common carrier’] applies ***only to the extent*** that the passengers or cargo are ***loaded or discharged*** at a U.S. port.” 24 S.R.R. at 1457-58 (quoting from S. Rep. No. 414, 97th Cong., 2d Sess. 26 (1982), brackets in original, emphasis added).

This understanding that the Shipping Act, as reflected *Austasia*, precludes FMC jurisdiction over shipments discharged or loaded in Canada with a following or preceding land leg was reaffirmed by the Commission in its 2012 *Study of U.S. Inland Containerized Cargo Moving Through Canadian and Mexican Seaports* (July 2012). There, the Commission stated:

“In *Austasia Container Express v. F.M.C.*, 580 F.2d 642 (D.C. Cir. 1978), the D.C. Circuit agreed, and held that the FMC’s jurisdictional authority did not include cargo originating from or ultimately bound for U.S. inland destinations that was exported or imported through a foreign port.

Other carriers, . . . moved cargo in the same fashion as *Austasia* . . . Presumably, . . . these carriers were also taking advantage of the jurisdictional gap that allowed them to operate free from FMC regulation. There were Congressional efforts to address this gap . . . [which proved ultimately to be unsuccessful . . . As such, the FMC’s authority regarding the regulation of U.S.-bound cargo through foreign ports has changed little today. After the

³ There, the Commission stated:

“The Petitions argue that [*Austasia*] is irrelevant because it . . . (2) involved a carrier that had no U.S. port operations whatsoever ; and (3) did not involve ‘mixed commerce’ operations where vessels operating between U.S. and foreign ports also call at Canadian (or Mexican) ports.

Austasia cases made clear the FMC lacked jurisdiction, the issue was put to rest.” Id. at 34 (footnotes omitted)

Complainant also seriously misrepresents Chief Administrative Law Judge Wirth’s decision in *Color Brands*, saying it was about cargo damage and cargo insurance. This assertion is belied by the very first sentence of Judge Wirth’s Initial Decision: “Color Brands, LLC . . . filed a complaint alleging that AAF Logistics, LLC (“AAF”) ***violated the Shipping Act*** of 1984 (“Shipping Act”) by charging for insurance that it did not obtain for maritime shipments and engaging in improper practices concerning damaged cargo claims.”⁴ As the case makes clear, the question of

The fact that the carrier in [*Austasia*] offered no vessel calls anywhere at U.S. ports was not the basis for the D.C. Circuit’s decision. The Court held only that because [the service at issue called no U.S. ports], the carrier was not a Shipping Act ‘common carrier for that service There is nothing in [that] opinion inferring that the court would have reached a different result if the carrier had had an additional service elsewhere that was subject to FMC jurisdiction. The petitioners’ effort to apply such ‘if a common carrier somewhere, then a common carrier everywhere’ reasoning . . . disregard[s] the distinction between personal and subject matter jurisdiction. The fact that the Commission lawfully can effect service of process upon a carrier because it has operations subject to the Shipping Act does not warrant a conclusion that all of that carrier’s operations indiscriminately fall under the Act. Such an outcome would contrary to Congress’ intent . . . and, again, too easily lends itself to implausible geographic applications.

[The efforts in Congress to broaden the term ‘common carrier enough to reach common carriers diverting cargo through Canadian ports] failed, and the Senate Commerce Committee repeatedly instructed the Commission that the definition of ‘common carrier’ should be applied surgically The case in point twice used by the Committee as a guide to proper interpretation specifically stated that a carrier calling at both U.S. and Canadian ports on the same voyage . . . is *not* a Shipping Act ‘common carrier’ with respect to its Canadian port calls. . . . In addition, the House Merchant Marine and Fisheries Commission said in its report that the phrase ‘by water’ in the definition was meant to make it clear that ‘the transportation referred to is water transportation from the United States to a foreign country. Thus, the definition does not encompass the so-called

FMC jurisdiction over specific shipments loaded or discharged at a Canadian port was directly at issue. As Judge Wirth explained:

“[A]n order requesting clarification and extending deadlines was issued, requiring Color Brands to submit a supplemental declaration with additional exhibits, including a revised chart adding a column listing the port of departure for all shipments, ***to determine which shipments utilized a United States port.***” 2024 WL 4034609 at *1 (emphasis added).

Judge Wirth went on to reject an argument very much like the one made by Complainant here:

In Color Brand’s supplemental declaration, they argue that “the FMC has jurisdiction over all the insurance premium claim shipments against AAF, a U.S. licensed NVOCC who collected the premiums in the U.S., charged a U.S. shipper.” Supp. Decl. ¶ 12. However, the Shipping Act defines a common carrier as a person that “uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(7). An NVOCC is defined as a ““common carrier” that “(A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17); *see also* 46 C.F.R. § 515.2(k). ***Thus, only the shipments that arrive or depart from a United States port are regulated. CMI Distribution, Inc. v. Service By Air, Inc.***, Docket No. 17-05, 2019 WL 4734318 at *11 (ALJ May 24, 2019) *aff’d in part, rev’d in part*, 2021 WL 3367603 (FMC July 26, 2021). ***Therefore, the claims based on shipments that did not utilize United States ports are excluded from the reparations calculation. Id.*** at *4 (emphasis added).

Complainant’s attempt to distinguish *CMI Distribution, Inc. v. Service by Air, Inc.*, on the grounds that it involved an NVOCC, rather than a VOCC, is, if possible, even more specious. Both

Canadian diversion situation where cargo is transported by land from the United States to a contiguous foreign country and from there by water to an overseas foreign country. These injunctions from the two Congressional committees directly responsible for the 1984 Act establish that ‘mixed commerce’ operations . . . may not be brought within the Shipping Act whole, but instead must be segregated between those that involve geographic ‘common carriage’ and those that do not.”

⁴ The FMC, of course, does not have jurisdiction over claims of cargo loss and breach of contract. Such claims are addressed by the courts pursuant to the Carriage of Goods by Sea Act (“COGSA”). 46 U.S.C. § 30701.

VOCCs and NVOCCs are “common carriers” but only with respect to the shipments that are loaded on or discharged from a vessel at U.S. ports, as Judge Wirth expressly recognized in the quotation above.

3. Complainant Misrepresents the Cases It Cites in Support of Its Claims

Complainant cites two cases for the purported proposition that the Commission has jurisdiction over through movements even if no U.S. port is involved. It misrepresents them both.

COSCO does not deny the proposition that, if COSCO, for example, discharged cargo at the Port of Seattle and thereafter transported it inland under a through intermodal bill of lading to Chicago, the Commission would have jurisdiction over the multi-modal transportation, at least up to the place of delivery specified in the bill of lading. But that is not what happened here. Rather, the cargo at issue was discharged from the vessel in Canada and never came in contact with a U.S. port.

Complainant incorrectly claims that *Mitsui* stands for the proposition that FMC jurisdiction extends to the entire transportation, even if the shipment transits a foreign intermediary port before reaching the United States.⁵ Response at 5. But nowhere in that case was there any suggestion that the shipments at issue were not discharged at a U.S. port, and indeed they were. The inland issue in *Mitsui* was entirely about the leg from the U.S. port of destination to a U.S. inland destination. Mitsui alleged that it would arrange for transportation by land from the U.S. port to an inland destination as part of a through bill of lading from a foreign port to U.S. inland destination A, as requested by the Respondent in booking the shipment, but Respondent would tell the land carrier

⁵ While not particularly relevant, it is baffling how the Commission in *Mitsui* (1984), could have been “guided” by a Supreme Court opinion issued in 2010. Response at 6.

to take it instead to higher-priced inland destination B, thereby depriving Mitsui of the difference in the applicable rates for the two destinations.

Likewise, by Complainant's own description, *Intermodal Motor Carriers v. OCEMA* involved only cargo that was either loaded or discharged ***at U.S. ports***. Response at 6. More specifically, the question in that proceeding was whether the FMC had jurisdiction over an agreement among ocean common carriers and its practices concerning chassis from a U.S. seaport to a U.S. rail ramp. 2024 WL 641501, at *2.

CONCLUSION

For the reasons stated in the Motion and this Reply, the Presiding Officer should dismiss the Complaint as to all shipments the transportation for which it did not use a port of the United States. Respondent remains confident that, once the Presiding Officer establishes the guiding principle, counsel for the two Parties will be able to collaboratively determine which shipments must be deemed outside the Commission's jurisdiction and thus streamline the proceeding.

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Respectfully submitted,



JEFFREY/FENNEMAN LAW + STRATEGY, PLLC
700 12th Street, NW Suite 700
Washington, DC 20005
Tel: (202) 904-2301

Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com

Eric C. Jeffrey
EJeffrey@JeffreyFenneman.com

Kaya C. Massey
KMassey@JeffreyFenneman.com

Nicholas L. Webb
NWebb@JeffreyFenneman.com

ATTORNEYS FOR RESPONDENT

CERTIFICATE OF SERVICE

I certify that on this 1st day of April, 2025, a true and correct copy of the foregoing Respondent's Reply in Support of Motion for Summary Judgment was served by electronic mail on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020 as follows:

ATTORNEYS FOR COMPLAINANT:

CLARK HILL PLC

130 E. Randolph Street
Suite 3900
Chicago, IL 60601

Timothy R. Herman, Esq.
Therman@ClarkHill.com

R. Kevin Williams, Esq.
KWilliams@ClarkHill.com

Michell Pacheco, Esq.
Mpacheco@ClarkHill.com



Kaya C. Massey